

Wrap

Seven moves

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MSCA Doctoral Network Digital Finance · MSCA_DF_10 Introduction to AI for Financial Applications



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Day synthesis: seven moves

1. **Opener:** a prediction is not a test until you say what it would reject
2. **FF → Gu:** validation and economic metrics $\geq$ fancy models
3. **Avramov et al.:** *where* the alpha lives is part of the result
4. **Krauss:** a classifier is not a strategy without a label, a portfolio rule and frictions
5. **Lessmann / Fuster:** protocols make claims credible; accuracy $\neq$ welfare
6. **Chen–Pelger–Zhu:** put the economics into the loss
7. **Replication:** fix what counts as success before you run it

One-liner wall

Paper	One line
Gu	validation + economic metrics $\geq$ fancy models
Krauss	classifier $\neq$ strategy without a trading rule
Lessmann	boring protocols make claims credible
Fuster	a better prediction can be a worse outcome for some borrowers
Chen	constraints can beat a pure predictive loss
KMZ vs Nagel	ask what the model is actually doing
Zombies	label $\rightarrow$ information set $\rightarrow$ OOT $\rightarrow$ costs $\rightarrow$ explain $\rightarrow$ replicate

Homework options (pick one)

- A. A 1–2 page deconstruction note on one core paper, with the **hypothesis** stated
- B. A half-page Lessmann-style protocol for your dataset
- C. Re-run `06_kmz_nage1` with $T = 60$ and $T = 120$
- D. A sketch (bullets or code stub): add a finance penalty inside training (`04`)

Thank you

Materials: your course folder (notebooks/ , data/ , Reading_list.pdf) · the slides are in slides/

Questions · office hours · next steps for your thesis designs